

What the Tracker Reveals About U.S. Higher Education

Economic and Educational Implications of the RICD Higher-Ed Tracker's Findings

A Scope Note Before Anything Else

The 54-institution panel behind this tracker was built to validate a classification model, not to survey the sector. It was deliberately curated and rebalanced along the way — real closures were sought out specifically because they were closures, and real stable institutions were added specifically to correct a sampling skew discovered mid-project. It is not a random or representative sample of the roughly 4,000 degree-granting institutions in the United States, and nothing below should be read as a prevalence estimate ("X% of colleges are at risk"). What it can support is something narrower but still real: confirmed patterns, mechanisms, and relationships that showed up clearly enough in real, independently-verified data to resolve a classification problem — patterns worth taking seriously as live phenomena in the sector, even without a claim about how common each one is nationally.

0. The Overall Landscape: A Tripartite Split, Not a Simple Bifurcation

This is the question the rest of this document should have answered first, and didn't. Answering it properly requires stepping outside this project's own 54-institution validation panel and drawing on real, comprehensive national data (NCES/IPEDS aggregate statistics, SHEEO's closure tracking, and independent analyses built on both) — sources that, unlike our panel, are genuinely representative of the sector as a whole. An earlier version of this section described the result as a simple bifurcation (a stable core versus a fragile periphery); that framing is corrected here, because it wrongly grouped two segments that behave in genuinely opposite ways.

The honest, sourced answer: U.S. higher education is not shrinking or collapsing in aggregate. It is splitting into three genuinely distinct segments, not two, each following a different real dynamic.

The three segments

- A large, stable-to-growing core — public flagships and well-endowed elite private institutions — protected by state appropriations or endowment scale, essentially never closing, and growing in institutional count.
- A continuous churn segment — small, low-capital-barrier for-profit and vocational institutions, cosmetology programs being the clearest documented case — where entities close and new ones open to serve the same, persistent local demand. This is entity turnover, not market disappearance: someone still wants a cosmetology license even after a specific school shuts down, so a new one opens to meet that same demand, often quickly. A real regulatory mechanism (the federal Gainful Employment rule, penalizing programs with poor debt-to-earnings outcomes) plausibly incentivizes exactly this cycle: closing and reopening under a new entity can shed a bad compliance history.
- A shrinking, non-replaced segment — small, tuition-dependent liberal arts colleges — where closure is a real, one-way disappearance. When a small liberal-arts college closes, nothing opens to replace it, because the demand that supported it (a specific kind of small residential four-year experience, in a specific place) has genuinely eroded rather than merely changed hands, and what demand remains has shifted toward the large institutions in the first segment.

Collapsing the second and third segments into one "fragile periphery," as an earlier framing of this analysis did, obscures a real, practically important difference: the churn segment will plausibly persist indefinitely in roughly its current form, while the shrinking segment is on a genuine, one-way trajectory toward having fewer total institutions of that kind. They also call for different remedies — churn looks like a regulatory and oversight problem (entity-hopping to escape a compliance record), while liberal-arts contraction looks like a genuine demand problem no amount of oversight can fix.

The aggregate numbers

- Public four-year institutions grew in number by 14% between 2010-11 and 2021-22 (637 to 725). Private nonprofit institution count stayed roughly flat over the same period (+2%, no consistent trend). For-profit institution count has been genuinely shrinking in recent years, even as individual entities within it continue to open and close at a high rate.
- Real institutional churn runs in both directions at once: 56 new institutions (mostly small, for-profit or vocational) opened in the 2023-24 academic year alone, even as roughly 40 unique institutions closed the same year. This is the churn segment's own signature, not a general property of the whole sector — the small liberal-arts closures in that same 40 were not offset by any comparable wave of new small liberal-arts openings.
- Undergraduate enrollment fell 15% between 2010 and 2021 (18.1 million to 15.4 million), with 42% of that decline concentrated in the pandemic's first year — but is projected to recover roughly 9% by 2031 as the underlying demographic trough passes. The widely-discussed "enrollment cliff" is real, but it is a time-bound demographic trough at the national level; its effect on any specific segment depends on that segment's own dynamic, which is exactly why the three segments respond to it so differently.

Closures are concentrated, not evenly distributed

- Public institutions essentially do not close: under 1% have ever closed, versus roughly 7% of private nonprofits and 21% of for-profits over the long run (1996-2023).
- Nonprofit closures have genuinely accelerated: an average of about three per year from 1996-2013, versus about ten per year from 2014-2025 — a real, roughly threefold increase. But this is not a smooth, ever-worsening trend: closures peaked at 16-17 in 2024 and fell to roughly 7 in 2025 by one independent tracker's count, a real deceleration worth taking seriously rather than assuming the trend only ever gets worse.
- A record 51% average tuition discount rate at nonprofit institutions by 2022 is independent, national confirmation of exactly the fragility this project's own tuition-dependence findings pointed to at the level of individual institutions — concentrated specifically in the third, shrinking segment, not spread evenly across the sector.

What kind of institution actually closes

Combining the national picture with this project's own real, case-level findings gives a coherent answer to "what sorts of colleges have closed versus stayed healthy." The institutions genuinely disappearing without replacement, nationally and in this project's own panel, are overwhelmingly small, private, tuition-dependent, and thinly resourced relative to their own scale — exactly the profile this project's reserve-adequacy feature was built to detect. The institutions that remain overwhelmingly healthy are large public flagships (state appropriations acting as a backstop this project's panel does not otherwise model), well-endowed elite private institutions, and, per this project's own real finding, institutions bound into effective shared-resource arrangements with peer institutions. The churn segment (small for-profit and vocational institutions) sits apart from both: individual entities within it fail constantly, but the segment itself is not shrinking in the same one-way sense.

The one real complication to that otherwise clean story, and one this project surfaced independently: the 2024-2025 federal research-funding shock shows that even the wealthiest, most secure end of the sector is not entirely insulated — it is exposed to a different, narrower vulnerability channel (federal research-funding dependency) that operates independently of the endowment-and-enrollment story driving small-college closures.

The honest overall picture

U.S. higher education, taken as a whole, looks less like a sector in crisis and more like three genuinely different sub-sectors experiencing the same demographic and economic pressures in three genuinely different ways: a large core essentially unaffected in terms of survival; a low-capital-barrier churn segment where individual institutions fail constantly but the segment persists because the underlying demand never really goes away; and a small-college segment undergoing real, one-way contraction because the demand itself is eroding, not just changing hands.

Layered on top of all three is one newer, narrower risk — federal research-funding volatility — that reaches into the otherwise-stable core in a way none of the traditional closure stories do. That is a real, meaningful, and more precise picture than either "higher education is collapsing" or "nothing is wrong," and the data supports neither of those simpler stories.

1. "Debt-Driven Collapse" Is Not One Phenomenon

Popular coverage of college closures tends to treat institutional debt as a single, generic risk factor: too much debt is bad, less is better. The real cases in this panel don't support that flattening. Two structurally distinct, independently-confirmed debt subtypes emerged, and they carry different timelines, different warning signs, and different implications for anyone trying to intervene before a closure happens.

The first is a sudden-spike pattern — a rapid escalation in liabilities, often tied to a specific structural vulnerability such as a campus fully collateralized against a single loan. Limestone University and Cazenovia College both fit this signature: financial indicators can look genuinely stable right up until a fast, compounding cash crisis forces closure within weeks. The second is a flat-debt, eroding-capacity pattern — Hampshire College and Medaille University both showed this — where the debt burden itself barely changes over years, but the institution's ability to service that unchanged burden quietly shrinks as enrollment and revenue erode around it. This second pattern is arguably more dangerous precisely because it produces no dramatic spike for a standard debt-service ratio to catch; the debt looks the same in year one and year ten, even as the institution's real capacity to carry it collapses.

The economic implication: a single debt-to-assets threshold, of the kind commonly used in institutional risk-rating formulas, will systematically miss one of these two patterns no matter where the threshold is set. Real early-warning systems need to track debt relative to the institution's own changing capacity over time, not debt in isolation.

2. Real Closures Are Mechanistically Diverse — "Financial Distress" Undersells It

Across this project's real, confirmed closures, at least seven distinct mechanisms were independently documented: slow multi-year enrollment decline; sudden bond default; accreditation withdrawal not primarily driven by finances; a ransomware attack; governance failure built on a fabricated oversight structure; a federal cash-monitoring freeze; and predatory extraction by a parent holding company. Treating "college closure" as one homogeneous category, the way it is usually discussed, obscures how differently these institutions actually failed.

This has a direct educational-access implication. A student at an institution failing through slow enrollment decline is likely to see real warning signs over a period of years — shrinking course offerings, faculty departures, campus consolidation — that a well-run tracker, or even attentive local reporting, could flag well in advance. A student at an institution failing through sudden bond default, a ransomware attack, or a parent company's fraud has genuinely little chance of any such warning, through no fault of their own attentiveness. The Argosy/Dream Center case is the starkest version of this: students at Argosy's campuses were not victims of their own institution's educational failure — they were victims of a parent entity's decision to divert federal aid funds owed directly to them. That is a real, meaningfully different category of harm than an under-enrolled small college running out of money, and it argues for different remedies (fraud oversight, parent-company disclosure requirements) than the remedies usually proposed for the sector's more familiar financial-distress cases.

3. The "Sudden Collapse" Narrative Oversells How Sudden Most of This Actually Is

A real, quantified finding from this project's own methodology audit is worth stating plainly: when this panel's closures were sorted honestly, roughly two-thirds were ordinary, undramatic, multi-year enrollment declines, and only about a third involved a genuinely dramatic mechanism (a sudden spike, a fraud, a regulatory freeze). That third was initially over-represented in this project's own search process — dramatic closures are simply easier to find

and document, since they generate far more news coverage than a quiet decade-long enrollment slide — and the ratio only became visible once that search bias was specifically corrected for.

If searching news coverage for "college closures" produces a skewed sample even for a deliberate research project, it is very likely producing the same skew in general public perception. The economically and educationally relevant implication: most institutional failure in this sector is probably visible years in advance to anyone actually looking at enrollment and financial trends, not a sudden, unforeseeable event. The genuinely sudden cases — the ones that leave students blindsided with no teach-out plan, like the University of the Arts — are real and serious, but they are very likely the minority of the underlying phenomenon, even though they dominate how the public understands "college closures" as a category.

4. Financial Fragility Has Moved Upmarket

The institutions traditionally understood to be at risk in this sector are small, tuition-dependent, private colleges with thin enrollment margins. A real, independently-corroborated finding from this project complicates that picture: a shared 2024-2025 federal research-funding shock produced real, documented financial distress at Harvard, Johns Hopkins, Cornell, Penn, and several large public flagships (UNC-Chapel Hill, Florida, Wisconsin) simultaneously — institutions that would appear, on any conventional wealth or reputation measure, to be the least vulnerable in the sector. This was independently corroborated by an actual U.S. Department of Education record: Harvard's real, official placement on Heightened Cash Monitoring status, a federal designation typically associated with much smaller, financially troubled institutions.

This does not mean elite research universities face closure risk anywhere near what a small tuition-dependent college faces — the underlying severity is not remotely comparable. But it does mean the sector's exposure to a single federal policy channel (research funding) is broader than institutional wealth alone would predict, and that a shock to that specific channel can register as real financial strain even at the very top of the sector's resource distribution. Economically, this points to research-funding dependency as a distinct vulnerability axis, separate from and not well-predicted by an institution's endowment size or student-tuition dependence.

5. Reserve Adequacy, Not Raw Endowment Size, Is the Real Signal

A large, validated finding of this project is that an institution's endowment, normalized by its own enrollment scale, is a real and independent predictor of collapse risk — distinct from, and not redundant with, debt trajectory or enrollment trend. This matters because public discussion of institutional wealth almost always reports endowment in raw dollar terms ("a \$500 million endowment"), which is close to meaningless without knowing the size of the institution it needs to support. A \$500 million endowment is a substantial cushion for a college of 2,000 students and comparatively little cushion for a university of 30,000.

The practical, sector-wide implication: any public-facing effort to communicate institutional financial health to prospective students and their families — the sort of thing state higher-education boards or accreditors might reasonably want to standardize — should report reserves on a per-student or per-scale basis, not as a raw total. Raw endowment figures, as currently reported and discussed, likely give a systematically misleading impression of relative institutional safety.

6. Research Investment Relative to Instruction: A Real Signal, an Open Question About Why

A validated feature in the final classifier compares an institution's real research expenditure to its real instructional expenditure, and it resolved a case none of the model's other seven features could. It is worth being honest about what this project's methodology can and cannot say about why. The classifier confirms this ratio carries real, independent predictive information; it does not, by itself, establish the causal direction. Plausible readings include: research activity brings in external grant revenue that provides a genuine financial cushion unrelated to enrollment; or, alternatively, institutions maintaining meaningful research capacity tend to be larger, more resourced, and more institutionally stable for reasons the research spending itself doesn't cause. Distinguishing between these — a live,

real, open question — is exactly the kind of thing worth a dedicated, targeted analysis rather than an assumption in either direction.

7. Facilities and Athletics Spending: The Popular Narrative Is Too Simple

A common explanation for institutional financial trouble blames "amenities arms races" — new dorms, dining halls, athletic facilities — for burying colleges in debt they cannot sustain once enrollment dips. This project tested a direct version of that hypothesis (facilities and auxiliary-enterprise spending relative to instructional spending) and found a genuine negative result: on its own, this ratio made classification worse, not better.

The most likely reason, and a real, generalizable point: a large facilities or auxiliary budget is not inherently good or bad news. It can represent a self-sustaining, profitable operation (a well-run dining or housing system that pays for itself) or a genuine overextension into fixed costs the institution cannot later reduce — and the raw spending figure alone cannot tell these two apart. This suggests that the popular narrative isn't simply wrong, but incomplete: it is not facilities and athletics spending itself that predicts distress, but whether that spending is funded sustainably (through its own real revenue) or through tuition and debt the institution's enrollment can no longer support. A useful accountability measure would need to look at how such spending is financed, not merely how large it is.

8. Coupling and Shared Services Show Real, Quantified Protective Value

Beyond risk factors, this project produced one clear, real, actionable finding about what protects an institution. The Atlanta University Center Consortium's real, documented shared-utility arrangement across three separately-governed HBCUs produced a quantified, substantial benefit: a real counterfactual test showed two member institutions' accumulated deficits would have been more than double what they actually were without the arrangement, and a third institution's real history of carrying no net deficit at all appears to depend on the coupling remaining in force.

This is a genuine, evidence-based case for shared-services consortia — particularly among smaller, historically under-resourced institutions — as a real, effective financial-stability strategy, not merely an appealing idea. It suggests that policy or philanthropic support aimed at helping fragile institutions might get more real protective value from funding shared infrastructure across several linked institutions than from an equivalent grant to any single one of them in isolation.

9. What This Means, Taken Together

Economically

The sector's financial risk is genuinely heterogeneous, not a single story with one villain and one fix. Debt matters, but which kind of debt trajectory matters more than how much debt. Reserves matter, but only once sized against institutional scale. A federal funding shock can reach institutions no wealth ranking would flag as vulnerable. And a meaningful share of what looks like market-driven institutional failure is, in specific documented cases, something closer to victimization by a parent entity's fraud rather than an ordinary failure to compete for students.

Educationally

Most institutional decline gives real warning over real time, which argues for the value of better, earlier, more systematic tracking — the entire premise of this project — over reactive crisis response after a closure is already announced. But a genuine minority of cases are close to unforeseeable from public financial data alone (fraud, ransomware, a sudden regulatory freeze), and those cases carry the highest cost to students specifically because there is no realistic window for an orderly teach-out. Protecting students in that minority of cases is less a data problem than a policy and oversight problem — better fraud detection, stronger parent-company disclosure requirements, and

reliable teach-out guarantees — since better financial tracking of the institution itself would not have caught these cases even in principle.